nomic system, we will always need stock exchanges, and with the return of normal business and its reflection in rising security prices, agitation against them speedily disappears. It is, however, unfortunate that such prejudices should gain currency at times of real financial strain, when every effort should be made to restore sound conditions, instead of being wasted in combatting foolish economic fallacies and false panaceas. Correct diagnosis must always remain the first necessary step in effecting genuine cures.

How Stock Exchanges Arose

Stock exchanges have evolved gradually during the course of several centuries, and to understand their present-day functions it is necessary to consider their past history. As their name implies, they are organizations by means of which money can be exchanged for securities, or securities for money. Until the seventeenth century there were no real stock exchanges in our sense of the term, because there were no bond or share issues. But when government financing came to be done by the creation of national debts and the issuance of government bonds, rather than by the private financial operations of the sovereign ruler, security investment began and there at once developed a need for a market where this new form of property could readily be priced, purchased and sold.

Similarly, so long as business enterprise remained a small-scale affair, business firms needed little capital and rarely organized as stock companies; hence, there were no company bonds or shares and no need of a market for them. But with the coming of the industrial revolution, steam power was for the first time harnessed to transportation and industrial production, business enterprises came to need extensive capital, stock companies were in consequence rapidly formed, and the frequent issue of corporate securities began. The new